

24STCV33886 24STCV33886

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Case Number: 24STCV33886 Hearing Date: September 1, 2026 Dept: 836

RECEIVER'S MOTION FOR

ORDER AUTHORIZING DISCOVERY

Date: 9/1/26

(1:30 PM)

Case: The People of the State of

California v. C.C.O.A. Housing Corporation, et al. (24STCV33886)

TENTATIVE RULING:

Receiver Stephen J. Donell's UNOPPOSED Motion for Order

Authorizing Discovery is GRANTED.

Receiver Stephen J. Donell seeks an order authorizing him to

"to propound and conduct discovery, including from Defendants Gong Donald Toy aka Don Toy, Sing Foo aka Sing Chong, Janet Lim, and Jimmy Victoria (the "Individual Directors") and from third parties, such as Capital Realty Group, Inc. ("Buyer"), the buyer of the Cathay Manor Apartments" to "not only aid the Receiver in his investigation, but also empower him to meet his Court-ordered obligation to 'obtain an adequate accounting of C.C.O.A.'s Property and liabilities, and to secure a marshaling of such property.'" (See Notice of Mtn. at 2.)

I.

BACKGROUND

Plaintiff the People of the State of California initiated

this action for breach of fiduciary duty and dissolution of a nonprofit corporation on December 23, 2024 against defendants C.C.O.A. Housing Corporation (“CCOA”), Gong Donald Toy (“Toy”), Sing Foo (“Foo”), Janet Lim (“Lim”), and Jimmy Victoria (“Victoria”). Based the nature of CCOA’s operations that provide rental housing and related facilities and services to elderly persons and handicapped persons, it is financed by Housing and Urban Development (“HUD”) pursuant to a Housing Assistance Payment contract. (Compl. ¶¶ 2, 12.) Defendants Foo, Lim and Victoria are alleged to have breached their fiduciary duties to CCOA in their capacity as directors by ceding virtually all management responsibility to defendant Toy, resulting in a facility not compliant with fire safety regulations and lacking operational elevators. (Compl. ¶¶ 7–9, 14–18.)

The complaint alleges that defendants have poorly managed the property, resulting in a citation from the Los Angeles Fire Department, a pre-penalty notice from the U.S. Department of Housing and Urban Development, remediation orders from the Los Angeles Housing Department and Department of Building and Safety, repair, and 16 misdemeanor charges against CCOA and Toy, (Compl. ¶¶ 19–27.) The HUD charges were settled with an agreement to pay a \$1.5 million penalty. (Compl. ¶ 29.)

By March 2023, CCOA entered into an agreement to sell its property to another nonprofit for \$97 million. (Compl. ¶ 31.) Per the Government Code, CCOA submitted the sale to the California Attorney-General for approval and entered into a stipulation of conditional waiver of objections to the sale, agreeing to place the proceeds in a locked account subject to withdrawal upon approval by the attorney-general. (Compl. ¶ 33.) Plaintiff alleges that defendants have not disclosed to the government transactions and relationships it has with other nonprofit entities affiliated with defendant Toy, including a \$550,000 transfer from CCOA to another of Toy’s entities in 2021–2022. (Compl. ¶¶ 48–56.)

On January 22, 2026, this Court granted plaintiff’s motion to appoint a receiver, finding “reasonable grounds to believe that the interests of CCOA, the public, or the charitable purpose of CCOA will suffer pending the hearing and determination of the complaint unless a receiver of the corporation is appointed” to administer and manage CCOA’s assets. (1/22/26 Minute Order at pg. 4.) On March 16, 2026, this Court appointed Stephen J. Donell as receiver of CCOA (the “Receiver”). (See 3/16/26 Order Appointing Receiver.)

The Receiver now seeks an order permitting him to conduct discovery directed at the Individual Directors and from third parties, such the Buyer of the property in order to obtain an adequate accounting of CCOA's property liabilities and to secure a marshaling of such property.

II.

DISCUSSION

The Receiver moves for an order authorizing the Receiver to propound and conduct discovery for the purpose of carrying out his duties. The Court finds that the requested relief is appropriate.

“The extent of the property embraced by a receivership is a question the court appointing the receiver has the power and jurisdiction to determine, and it may therefore determine whether any particular property is or is not involved in the action and in the receivership proceeding.” (Steinberg v. Goldstein (1954) 129 Cal.App.2d 682, 686; see Code Civ. Proc. § 568 [“The receiver has, under the control of the Court, power . . . to do such acts respecting the property as the Court may authorize.”].) “Where property is under the control of a person who is not a party to the litigation and that person denies the receiver’s right to take possession and control of the property, the receiver must take whatever steps are necessary to obtain possession.” (Miller & Starr, California Real Estate (4th ed. 2020) § 41:11 [citing Crouse v. Superior Court of Los Angeles County (1915) 28 Cal.App. 625, 625-26].)

Pursuant to the Appointment Order, the Receiver shall “assume possession of all the Property [‘all of its assets, funds, currently known or unknown, frozen or unfrozen’] of, or in the possession of C.C.O.A.” (3/16/26 Appointment Order at ¶ 2(a).) The Court further ordered CCOA and its directors, officers, and agents to “turn over to the Receiver all records, documentation, charts and descriptive material, which relate, directly or indirectly, to the Property of CCOA, now held by CCOA or any of them.” (Id. at ¶ 4.) The Receiver is further authorized to “bring such proceedings as are necessary to enforce or modify the provisions of this order.

Here, events have transpired that warrant an order for discovery to aid the Receiver in obtaining an adequate accounting of CCOA's property and liabilities and otherwise manage the Receivership estate. For example,

before the Receiver was appointed, Toy executed an Amendment to the Promissory Note extending the maturity date by six years, and, on the same day, Toy executed an Amendment for Payments, whereby the Buyer would advance amounts owed under the Note for the purpose of paying outstanding attorney's fees. (Donell Decl. & Exs. B-C.) Thereafter, the Buyer paid \$25,000 to the Individual Director's counsel on March 31, 2026 based on a March 13, 2026 invoice regarding a "retainer fee for writ/appellate legal services to be provided by Appellate Law and Mr. Yockelson" in this matter. (Donell Decl. & Exs. D-E.) The Receiver attests that this payment was not disclosed and that he had only discovered it through the Buyer. (Donell Decl. ¶ 6.)

In addition, the Individual Directors have not been fully cooperative with the Receiver's attempts to gather necessary documents that pertain to CCOA and have only made a limited production of meeting minutes and engagement agreements. (Moldo Decl. ¶¶ 2-4.) Despite the Receiver's multiple follow-up attempts over several months, the Individual Directors have failed to respond, which, for example, prompted the Court to issue an Order to Show Cause regarding the failure to turn over CCOA property. (Moldo Decl. ¶¶ 5-9 & Exs. F-I.)

Given the limited cooperation and slow response by the Individual Directors, it seems apparent that an Order authorizing the Receiver to conduct discovery is warranted.

Furthermore, the Receiver has requested documents from CCOA's litigation counsel, the Ponist Law Group, P.C., but counsel has indicated that many relevant documents are in the possession of the Individual Directors. (Moldo Decl. & Ex. J at RPD No. 6.) This, too, counsels in favor of authorizing the Receiver to conduct the discovery he seeks as described in the instant motion. (See Mot. at pg. 12:1-14.)

Accordingly, the UNOPPOSED Motion for an Order Authorizing Discovery is GRANTED. The Court will sign the Proposed Order, electronically received from Receiver on 6/15/26.